

PICTURE PERFECT: A villa in Malaysia, part of the MM2H scheme



tion. The number of such homes is said to be growing by 14 per cent. With increased remittance limits, a family of four earning individuals can easily remit \$400,000 (Rs 1.6 crore) per year. "I have even seen friends invest in property together," says Piyoosh Gupta, solicitor and partner at DSK Legal.

The purchasing power of Indians is also being facilitated by the convenient home finance schemes that are being offered by banks and other financial institutions. In some cases, loans are given up to 95-100 per cent of the price of the property. In places like Dubai, all-cash deals are easy and individuals can directly purchase property (in Government-approved areas) from private builders. The loan tenures are long and can go up to 25 years.

Not surprisingly, Indians topped the list of property buyers, second only to the British, in Dubai last year, according to the Dubai Land Department. After liberalisation of immigration and real estate ownership laws, Dubai has become the most preferred destination for investors and tourists, who want to keep second homes there. One can purchase a one-bedroom apartment for Dh59,000 (Rs 6.6 lakh) and a studio apartment for Dh42,000 (Rs 4.6 lakh) in International City, while an upmarket villa would cost around Dh11,50,000 (Rs 1.3 crore) at New Dubai. Like Malaysia, Dubai too offers a residence permit, although only 20-25 per cent of the individuals

INVESTORS' GUIDE

■ Resident Indian individuals are free to acquire and hold immovable property outside India without prior approval of the RBI.

■ A foreign currency account needs to be opened in the country where the property is located and up to \$100,000 (per person, per year) can be remitted to the seller.

■ Investments can be made through Indian Banks like ICICI, SBI with offshore branches or through foreign banks.

■ The remittance facility under the scheme is not available for payments made directly or indirectly to countries like Bhutan, Nepal, Mauritius, Pakistan, Indonesia, Myanmar, Nigeria and Philippines.

who buy actually want to settle there.

For the general investor, the returns are high as prices are soaring: rising by an average 10-15 per cent annually. In areas like Dubai Marina and Jumeirah Beach Residence, prices have shot up by 300 per cent in two years. In addition, the rental yields in Dubai are as high as 15 per cent, making it one of the world's most profitable property markets in the world.

Similarly, in Singapore, the value of

residential property rose by 10 per cent last year. London too saw property rates going through the roof. According to Hamptons, the city saw a 43 per cent increase in demand for property in prime areas, while availability decreased by 21 per cent. In fact, both the volume of inquiries from buyers as well as overall average price hikes in 2006 grew the fastest in the last six years. Prices of stand-alone houses in Greater London rose by 233 per cent from an average £192,386 (Rs 1.5 crore) in 1996 to £640,499 (Rs 5 crore) in 2006.

The Malaysia property outlook, however, was mixed on account of a hike in interest rates as well as stricter consumer financing criteria. Still, with the government promoting its MM2H scheme, which allows foreigners to purchase residential property in Malaysia at a minimum of RM150,000 (Rs 18 lakh) each, the demand in the high-end sector is bullish.

Yet, none of the buyers are willing to come on record. It's not just the big-ticket buyers who prefer anonymity, even those who acquire smaller properties keep a low profile. Brokers say this is because of the high tax liability. According to them, only a tenth of the actual dealings ever get reported. Yet, as the economy prospers, Indians have got richer, adding a whole new layer of consumers. India has been an important consumer for property seekers abroad and this figure will only rise. ■